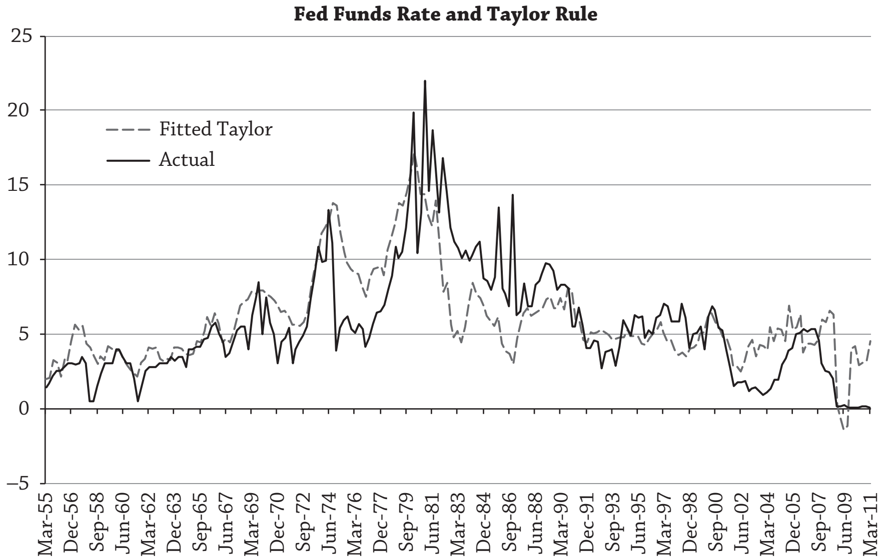

Period: 1955Q1 - 2011Q1

	Coeff	Std Error	t-stat
Const	0.97	0.06	15.51
GDP	0.26	0.07	3.58
CPI	1.09	0.41	2.66
R^2	0.52		

Figure 9.4

Fed is predicted to do according to the Taylor rule in equation (9.1) is referred to as a *monetary policy shock*. Thus, the monetary policy shock captures the discretion of the Fed in acting beyond what the Taylor rule prescribes in responding to movements in inflation and output.

Figure 9.4 graphs a version of the Taylor rule compared to the actual Fed funds rate from March 1951 to March 2011. Estimates of Taylor rule coefficients are also reported proxying economic growth with real GDP growth and inflation with CPI inflation, both defined as year-on-year changes. The coefficients on economic growth and inflation are both positive, consistent with the Taylor (1993) predictions, and the R^2 is over 50%, indicating a good fit. Figure 9.4 shows that monetary policy shocks can be large and persistent. The Taylor rule indicates that the Fed should have set interest rates to be much higher during the 1970s and reduced interest rates by more during the 1980s. Fed funds rates largely conformed to Taylor rule predictions during the 1990s. In the early 2000s, the Fed funds rate was much lower than predicted. During the financial crisis in 2009, the Taylor rule predicted that Fed funds rates should have been negative—precisely when the Fed embarked on its unconventional monetary policy programs. More recently, in